

Sri Lakshmi Knits & Garment Exports LLP

Export-Oriented Knitted Cotton Garments & Sustainable Home Textiles

Enterprise Category	Small Manufacturing Enterprise	Date of Formation	21st June 2015
Udyam Registration	UDYAM-TN-24-0072911	Operating Location	Netaji Apparel Park, Avinashi Road, Tiruppur
Primary Activity	Knitted Garment Stitching & Export	Appraisal Purpose	■30.00 Lakhs Green Energy Term Loan
Designated Partner	M. Balasubramaniam (25 yrs textile exp)	Lead Banker	Canara Bank, Tiruppur Overseas Branch

1. Executive Summary & Export Operations

Sri Lakshmi Knits & Garment Exports LLP is an established export-oriented garment manufacturing unit in Tiruppur, the knitwear capital of India. The enterprise specializes in high-value organic cotton infant-wear, circular-knitted t-shirts, and sustainable home furnishings shipped primarily to European and UK retail apparel chains. Audited operational revenue grew from ■240.00 Lakhs (FY23) to ■315.00 Lakhs (FY24), with net profit margin of 7.0% (PAT ■22.05 Lakhs).

The firm is seeking a green term loan facility of ■30.00 Lakhs to install a 100 kW captive rooftop solar photovoltaic plant (total capex ■42.00 Lakhs) to mitigate high industrial grid electricity tariffs and meet European buyer ESG supply chain criteria. This dossier audits export buyer concentration, cotton yarn inventory lockup, Zero Liquid Discharge (ZLD) effluent compliance, and capital structure.

[PRELIMINARY RISK OVERVIEW]

APPRAISAL FINDING: Verified direct export track record with high European customer retention. Operational hazards include 78-day cotton inventory lockup, 88-day export LC realization, and unmitigated state effluent audit regularisation.

2. Financial Performance & Export Turnover (FY22 - FY24)

Financial Metric (■ Lakhs)	FY 2021-22	FY 2022-23	FY 2023-24	YoY Trend
Export Sales Revenue	195.00	240.00	315.00	+31.25%
Raw Cotton Yarn Consumption	105.00	132.00	176.40	+33.64%
Operating EBITDA	33.15 (17.0%)	42.00 (17.5%)	56.70 (18.0%)	+35.00%
Net Profit After Tax	12.68 (6.5%)	16.32 (6.8%)	22.05 (7.0%)	+35.11%
Tangible Net Worth	58.20	72.50	91.80	+26.62%
Debt Service Coverage Ratio	2.10x	2.18x	2.25x	Healthy

3. Export Customer Schedule & Buyer Concentration

Buyer / Retail Chain	Share (%)	FY24 Value	LC Period	Payment Realization
EuroTextile Retail GmbH (Germany)	39.50%	■124.42 L	60 Days LC	88 Days Delay
Nordic Fashion Buying Group (Denmark)	26.80%	■84.42 L	60 Days LC	65 Days
HighStreet Apparel Sourcing Ltd (UK)	18.70%	■58.90 L	30 Days TT	35 Days
Domestic Corporate Brand Buyers	15.00%	■47.25 L	15 Days	20 Days

[CUSTOMER CONCENTRATION HAZARD]

EXPORT CONCENTRATION ALERT: German retail client commands 39.5% of total sales. Letter of Credit payment realization stretches to 88 days, locking ■32 Lakhs in operating liquidity.

4. Working Capital & Inventory Lockup

The firm maintains an Export Packing Credit (EPC) and Cash Credit facility of ₹45.00 Lakhs. Due to raw cotton price volatility, the firm maintains 78 days of cotton yarn buffer inventory (₹38.5 Lakhs locked). Coupled with 88-day LC realization intervals, credit limit utilization stands at 92.8%, creating working capital strain during peak seasonal shipments.

5. Operational Overhead: High Grid Electricity Tariffs

Operational bottleneck: Industrial high-tension power tariffs (TANGEDCO) have surged to ₹9.20 per kWh, consuming 4.8% of gross revenues. Installing the proposed 100 kW captive rooftop solar plant will slash energy expenses by ₹1.25 Lakhs per month and qualify the enterprise for zero-carbon apparel supplier certification.

6. Environmental Statutory Compliance & Capex Deficit

Statutory compliance review identifies that the mandatory annual Zero Liquid Discharge (ZLD) effluent audit verification for the contracted wet-processing dyeing unit is pending submission to the Tamil Nadu Pollution Control Board (TNPCB). Commercial export lenders mandate zero-liquid discharge compliance certification.

Total solar capital investment is ₹42.00 Lakhs, requiring ₹12.00 Lakhs promoter contribution. Committed promoter equity is ₹7.50 Lakhs, leaving an uncovered promoter equity shortfall of ₹4.50 Lakhs.

[STRATEGIC REMEDIATION]

RECOMMENDED ACTION BLUEPRINT: 1. Regularize TNPCB ZLD effluent audit within 30 days; 2. Leverage MSME credit guarantee scheme for green energy to bridge ₹4.50 Lakhs margin gap; 3. Onboard EuroTextile receivables onto international export factoring to liberate ₹25 Lakhs liquidity.